Company registration number 00079908 (England and Wales)

ARTHUR BRANWELL & CO LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 SEPTEMBER 2024

ARTHUR BRANWELL & CO LIMITED

COMPANY INFORMATION

Directors	Mr R J Kenny Mr C L Cooper Mr C J Bolton
Secretary	Mr N Day
Company number	00079908
Registered office	Bronte House 58-62 High Street Epping Essex CM16 4AE
Auditor	Alwyns LLP Crown House 151 High Road Loughton Essex IG10 4LG

ARTHUR BRANWELL & CO LIMITED

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ARTHUR BRANWELL & CO LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 SEPTEMBER 2024

The directors present the Annual Report for the year ended 30 September 2024.

Fair review of the business

During the financial year the directors have continued to manage the risks associated with the invasion of Ukraine, commodity and utility price volatility, Brexit and inflation. The group has continued to trade successfully as its client base of food manufacturers have carried on largely uninterrupted. As at the current date, June 2025, the directors believe that there is very limited future commercial risk but continue to monitor the situation on an ongoing basis.

During the year, as a result of a slight easing of commodity prices, turnover decreased to £20,436,550 (2023 - £21,137,612). The business continues to move forward in a competitive market where the directors feel that the reputation for quality and service engendered by the group has helped to retain existing customers and attract new business.

The directors consider that the overall financial performance has been satisfactory given the current volatility of commodity prices, the nature of the global economy, and the challenges of Brexit, global supply issues and shipping delays.

The core business remains stable and the group continues with its research and development programme to create novel and innovative products and move the business into new markets. In addition, the group continues to invest in its production facilities ensuring that they meet the highest possible standards, and comply with the requirements of its customers and ever demanding industry legislation.

In line with its commitment on environmental sustainability, the group has taken a variety of actions to improve energy efficiency in recent years, and has been able to materially reduce both electricity and gas usage at its head office. The group has also, over recent years, been following a policy of purchasing its electricity supply from a provider which generates using renewable sources only. The group is also currently investigating the feasibility of installing solar power.

Principal risks and uncertainties

The principal risks and uncertainties facing the group are:

Competitive risk:

The group sells to businesses across the UK and international food and pharmaceutical markets. The main risks to the group are considered to be the inability to pass on any increases in raw materials costs while remaining competitive. The group benefits from an experienced purchasing team and global business relationships which optimises our purchasing function.

Liquidity risk:

The group minimises liquidity risk by ensuring sufficient funds are available to meet scheduled payments. The credit risk on trade debtors is managed through regular monitoring of overdue accounts and reviews of customer's financial statements.

Key performance indicators

The directors monitor the performance of the group in various ways, including the following:

- Total turnover £20,436,550 in 2024, compared to £21,137,612 in 2023.
- Gross profit £6,307,711 in 2024, compared to £5,537,043 in 2023.
- Operating profit £1,273,574 in 2024, compared to £1,052,655 in 2023.

In addition, the group operates strict internal control and risk assessment procedures in order to minimise potential operating and financial risks. This includes extensive fraud protection and cyber security policies.

Other performance indicators
The key non-financial performance indicators continue to be customer gains and retention.

On behalf of the board

Mr R J Kenny
Chairman
4 June 2025

ARTHUR BRANWELL & CO LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 SEPTEMBER 2024

Principal activities
The principal activity of the group continued to be that of trading and processing of natural gums, commodities, and related products.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

Mr R J Kenny
Mr C L Cooper
Mr C J Bolton

Results and dividends
The results for the year are set out on page 8.

During the year, dividends on ordinary shares of £360,000 were paid in respect of last year. The directors are recommending a dividend of £465,000 to be paid in respect of this year.

Financial instruments

Liquidity risk
The company manages its cash and borrowing requirements in order to maximise interest income and minimise interest expense, whilst ensuring the company has sufficient liquid resources to meet the operating needs of the businesses.

Interest rate risk
The group is exposed to fair value interest rate risk on its fixed rate borrowings and cash flow interest rate risk on floating rate deposits, bank overdrafts and loans. The group uses interest rate derivatives to manage the mix of fixed and variable rate debt so as to reduce its exposure to changes in interest rates.

Foreign currency risk
The group's principal foreign currency exposures arise from trading with overseas companies. Group policy permits but does not demand that these exposures may be hedged in order to fix the cost in sterling. This hedging activity involves the use of foreign exchange forward contracts.

Credit risk
Investments of cash surpluses, borrowings and derivative instruments are made through banks and companies which must fulfil credit rating criteria approved by the Board.

All customers who wish to trade on credit terms are subject to credit verification procedures. Trade debtors are monitored on an ongoing basis and provision is made for doubtful debts where necessary.

Auditor
In accordance with the company's articles, a resolution proposing that Alwyns LLP be reappointed as auditor of the company will be put at a General Meeting.

Statement of directors' responsibilities
The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company, and of the profit or loss of the group for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the group's and company's transactions and disclose with reasonable accuracy at any time the financial position of the group and company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the group and company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of disclosure to auditor
So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the auditor of the company is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the auditor of the company is aware of that information.

On behalf of the board

Mr R J Kenny
Chairman
4 June 2025

ARTHUR BRANWELL & CO LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF ARTHUR BRANWELL & CO LIMITED

Opinion

We have audited the financial statements of Arthur Branwell & Co Limited (the 'parent company') and its subsidiaries (the 'group') for the year ended 30 September 2024 which comprise the Group Profit and Loss Account, the Group Statement of Comprehensive income, the Group Balance Sheet, the Company Balance Sheet, the Group Statement of Changes in Equity, the Company Statement of Changes in Equity, the Group Statement of Cash Flows, the Company Statement of Cash Flows and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the group's and the parent company's affairs as at 30 September 2024 and of the group's profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for qualified opinion on financial statements

The directors have been unable to obtain a reasonable estimation of the company's defined benefit pension scheme deficit at either the previous or current year end. This had been due to ongoing discussions with the scheme actuaries concerning the assumptions and basis for their calculations, which are currently still unresolved. As a result the directors have been unable to comply with the Financial Reporting Standard No. 102 Retirement Benefits, which requires that the financial statements: reflect the fair value of the scheme assets and liabilities; account for the operating costs of providing retirement benefits to employees, the related finance costs and changes in the values of the assets and liabilities; and contain adequate relevant disclosures. The directors have a payment schedule of contributions in place, agreed with the scheme actuaries and approved by the Pensions Regulator, in respect of the deficit, and, as mentioned in note 1.16, no contributions are outstanding. We are unable to quantify the financial effect of the omission.

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's and parent company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- The information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- The strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the group and the parent company and their environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the parent company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Audit procedures undertaken in responses to the potential risks relating to irregularities (which include fraud and non-compliance with laws and regulations) comprised of: enquiries of management and those charged with governance as to whether the entity complies with such laws and regulations; enquiries with the same concerning any actual or potential litigation or claim; inspection of relevant legal correspondence; testing the appropriateness of entries in the nominal ledger, including journal entries; reviewing transactions around the end of the reporting period; and the performance of analytical procedures to identify unexpected movements in account balances which may be indicative of fraud.

No instances of material non-compliance were identified. However, the likelihood of detecting irregularities, including fraud, is limited by the inherent difficulty in detecting irregularities, the effectiveness of the entity's controls, and the nature, timing and extent of the audit procedures performed. Irregularities that result from fraud might be inherently more difficult to detect than irregularities that result from error. As stated above, there is an unavoidable risk that material misstatements may not be detected, even though the audit has been planned and performed in accordance with ISAs (UK).

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Ms Jan Rickler (Senior Statutory Auditor)
For and on behalf of Alwyns LLP, Statutory Auditor
Chartered Accountants
Crown House
151 High Road
Loughton
Essex
IG10 4LG
10 June 2025

ARTHUR BRANWELL & CO LIMITED

GROUP PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 30 SEPTEMBER 2024

	Notes	2024 £	2023 £
Turnover	**3**	20,436,550	21,137,612
Cost of sales		(14,128,839)	(15,600,569)
Gross profit		6,307,711	5,537,043
Administrative expenses		(5,223,696)	(4,671,645)
Other operating income		189,559	187,257
Operating profit	**4**	1,273,574	1,052,655
Interest receivable and similar income	**8**	640	796
Interest payable and similar expenses	**9**	(39,746)	(111,114)
Profit before taxation		1,234,468	942,337
Tax on profit	**10**	(240,761)	(185,638)
Profit for the financial year		993,707	756,699

Profit for the financial year is all attributable to the owners of the parent company.

The profit and loss account has been prepared on the basis that all operations are continuing operations.

ARTHUR BRANWELL & CO LIMITED

GROUP STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 SEPTEMBER 2024

	2024 £	2023 £
Profit for the year	993,707	756,699
Other comprehensive income		
Cash flow hedges gain arising in the year	-	-
Tax relating to other comprehensive income	(128,313)	-
Total comprehensive income for the year	865,394	756,699

Total comprehensive income for the year is all attributable to the owners of the parent company.

ARTHUR BRANWELL & CO LIMITED

GROUP BALANCE SHEET

AS AT 30 SEPTEMBER 2024

	Notes	2024 £	2024 £	2023 £	2023 £
Fixed assets					
Tangible assets	**13**		4,346,660		4,100,573
Investment properties	**14**		1,905,000		1,905,000
			6,251,660		6,005,573
Current assets					
Stocks	**17**	5,000,234		6,245,517	
Debtors	**18**	3,985,239		3,123,954	
Cash at bank and in hand		453,182		306,335	
		9,438,655		9,675,806	
Creditors: amounts falling due within one year	**19**	(6,253,942)		(6,873,132)	
Net current assets			3,184,713		2,802,674
Total assets less current liabilities			9,436,373		8,808,247
Creditors: amounts falling due after more than one year	**20**		-		(7,483)
Provisions for liabilities	**23**		(881,591)		(753,278)
Net assets			8,554,782		8,047,486
Capital and reserves					
Called up share capital	**25**		250,000		250,000
Revaluation reserve			1,997,435		2,125,748
Other reserves	**26**		(13,589)		(15,491)
Profit and loss reserves			6,320,936		5,687,229
Total equity			8,554,782		8,047,486

The financial statements were approved by the board of directors and authorised for issue on 4 June 2025 and are signed on its behalf by:

Mr R J Kenny
Chairman

ARTHUR BRANWELL & CO LIMITED

COMPANY BALANCE SHEET

AS AT 30 SEPTEMBER 2024

	Notes	2024 £	2024 £	2023 £	2023 £
Fixed assets					
Tangible assets	**13**		4,346,589		4,082,092
Investment properties	**14**		1,905,000		1,905,000
Investments	**15**		39,199		38,664
			6,290,788		6,025,756
Current assets					
Stocks	**17**	4,866,605		6,057,239	
Debtors	**18**	3,825,813		2,724,526	
Cash at bank and in hand		2,877		31,718	
		8,695,295		8,813,483	
Creditors: amounts falling due within one year	**19**	(6,200,695)		(6,681,865)	
Net current assets			2,494,600		2,131,618
Total assets less current liabilities			8,785,388		8,157,374
Provisions for liabilities	**23**		(881,591)		(753,278)
Net assets			7,903,797		7,404,096
Capital and reserves					
Called up share capital	**25**		250,000		250,000
Revaluation reserve			1,997,435		2,125,748
Profit and loss reserves			5,656,362		5,028,348
Total equity			7,903,797		7,404,096

As permitted by s408 Companies Act 2006, the company has not presented its own profit and loss account and related notes. The company's profit for the year was £988,014 (2023 - £704,693 profit).

The financial statements were approved by the board of directors and authorised for issue on 4 June 2025 and are signed on its behalf by:

Mr R J Kenny
Chairman

Company Registration No. 00079908

ARTHUR BRANWELL & CO LIMITED

GROUP STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 SEPTEMBER 2024

	Notes	Share capital	Revaluation reserve	Othe reserves	Profit and loss reserves	Total
		£	£	£	£	£
Balance at 1 October 2022		250,000	2,125,748	(20,963)	5,280,530	7,635,315
Year ended 30 September 2023:						
Profit and total comprehensive income for the year		-	-	-	756,699	756,699
Dividends	**11**	-	-	-	(350,000)	(350,000)
Transfers		-	-	5,472	-	5,472
Balance at 30 September 2023		250,000	2,125,748	(15,491)	5,687,229	8,047,486
Year ended 30 September 2024:						
Profit for the year		-	-	-	993,707	993,707
Other comprehensive income:						
Tax relating to other comprehensive income		-	(128,313)	-	-	(128,313)
Total comprehensive income for the year		-	(128,313)	-	993,707	865,394
Dividends	**11**	-	-	-	(360,000)	(360,000)
Transfers		-	-	1,902	-	1,902
Balance at 30 September 2024		250,000	1,997,435	(13,589)	6,320,936	8,554,782

ARTHUR BRANWELL & CO LIMITED

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 SEPTEMBER 2024

	Notes	Share capital	Revaluation reserve	Profit and loss reserves	Total
		£	£	£	£
Balance at 1 October 2022		250,000	2,125,748	4,673,655	7,049,403
Year ended 30 September 2023:					
Profit and total comprehensive income for the year		-	-	704,693	704,693
Dividends	**11**	-	-	(350,000)	(350,000)
Balance at 30 September 2023		250,000	2,125,748	5,028,348	7,404,096
Year ended 30 September 2024:					
Profit for the year		-	-	988,014	988,014
Other comprehensive income:					
Tax relating to other comprehensive income		-	(128,313)	-	(128,313)
Total comprehensive income		-	(128,313)	988,014	859,701
Dividends	**11**	-	-	(360,000)	(360,000)
Balance at 30 September 2024		250,000	1,997,435	5,656,362	7,903,797

ARTHUR BRANWELL & CO LIMITED

GROUP STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 SEPTEMBER 2024

	Notes	2024 £	2024 £	2023 £	2023 £
Cash flows from operating activities					
Cash generated from operations	**31**		1,073,487		2,902,061
Interest paid			(39,746)		(111,114)
Income taxes paid			(174,778)		(131,720)
Net cash inflow from operating activities			858,963		2,659,227
Investing activities					
Purchase of tangible fixed assets		(466,374)		(327,457)	
Proceeds from disposal of tangible fixed assets		36,945		-	
Interest received		640		796	
Net cash used in investing activities			(428,789)		(326,661)
Financing activities					
Payment of finance leases obligations		(15,360)		(7,762)	
Dividends paid to equity shareholders		(360,000)		(350,000)	
Net cash used in financing activities			(375,360)		(357,762)
Net increase in cash and cash equivalents			54,814		1,974,804
Cash and cash equivalents at beginning of year			(244,769)		(2,219,573)
Cash and cash equivalents at end of year			(189,955)		(244,769)
Relating to:					
Cash at bank and in hand			453,182		306,335
Bank overdrafts included in creditors payable within one year			(643,137)		(551,104)

ARTHUR BRANWELL & CO LIMITED

COMPANY STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 SEPTEMBER 2024

	Notes	2024 £	2024 £	2023 £	2023 £
Cash flows from operating activities					
Cash generated from operations	32		784,705		2,770,129
Interest paid			(39,302)		(110,375)
Income taxes paid			(152,347)		(116,092)
Net cash inflow from operating activities			593,056		2,543,662
Investing activities					
Purchase of tangible fixed assets		(466,374)		(327,457)	
Proceeds from disposal of tangible fixed assets		24,600		-	
Proceeds from disposal of subsidiaries		(535)		-	
Interest received		640		796	
Dividends received		87,739		10,714	
Net cash used in investing activities			(353,930)		(315,947)
Financing activities					
Dividends paid to equity shareholders		(360,000)		(350,000)	
Net cash used in financing activities			(360,000)		(350,000)
Net (decrease)/increase in cash and cash equivalents			(120,874)		1,877,715
Cash and cash equivalents at beginning of year			(519,386)		(2,397,101)
Cash and cash equivalents at end of year			(640,260)		(519,386)
Relating to:					
Cash at bank and in hand			2,877		31,718
Bank overdrafts included in creditors payable within one year			(643,137)		(551,104)

1 Accounting policies

Company information
Arthur Branwell & Co Limited ("the company") is a private limited company domiciled and incorporated in England and Wales. The registered office is Bronte House, 58-62 High Street, Epping, Essex, CM16 4AE.

The group consists of Arthur Branwell & Co Limited and all of its subsidiaries.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest whole pound.

The financial statements have been prepared under the historical cost convention, modified to include the revaluation of freehold properties and to include investment properties and certain financial instruments at fair value. The principal accounting policies adopted are set out below.

1.2 Basis of consolidation

In the parent company financial statements, the cost of a business combination is the fair value at the acquisition date of the assets given, equity instruments issued and liabilities incurred or assumed, plus costs directly attributable to the business combination. The excess of the cost of a business combination over the fair value of the identifiable assets, liabilities and contingent liabilities acquired is recognised as goodwill. The cost of the combination includes the estimated amount of contingent consideration that is probable and can be measured reliably, and is adjusted for changes in contingent consideration after the acquisition date. Provisional fair values recognised for business combinations in previous periods are adjusted retrospectively for final fair values determined in the 12 months following the acquisition date. Investments in subsidiaries, joint ventures and associates are accounted for at cost less impairment.

Deferred tax is recognised on differences between the value of assets (other than goodwill) and liabilities recognised in a business combination accounted for using the purchase method and the amounts that can be deducted or assessed for tax, considering the manner in which the carrying amount of the asset or liability is expected to be recovered or settled. The deferred tax recognised is adjusted against goodwill or negative goodwill.

The consolidated financial statements incorporate those of Arthur Branwell & Co Limited and all of its subsidiaries (ie entities that the group controls through its power to govern the financial and operating policies so as to obtain economic benefits).

All financial statements are made up to 30 September 2024. Where necessary, adjustments are made to the financial statements of subsidiaries to bring the accounting policies used into line with those used by other members of the g roup.

All intra-group transactions, balances and unrealised gains on transactions between group companies are eliminated on consolidation. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred.

1.3 Going concern

At the time of approving the financial statements, the directors have a reasonable expectation that the group has adequate resources to continue in operational existence for the foreseeable future. Thus the directors continue to adopt the going concern basis of accounting in preparing the financial statements.

1 Accounting policies **(Continued)**

1.4 Turnover

Turnover is recognised at the fair value of the consideration received or receivable for goods and services provided in the normal course of business, and is shown net of VAT and other sales related taxes. The fair value of consideration takes into account trade discounts, settlement discounts and volume rebates.

Revenue from the sale of goods is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer (usually on dispatch of the goods), the amount of revenue can be measured reliably, it is probable that the economic benefits associated with the transaction will flow to the entity and the costs incurred or to be incurred in respect of the transaction can be measured reliably.

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Freehold land and buildings	Nil
Structures and buildings	3-10% per annum
Leasehold improvements	evenly over the life of the lease
Plant and machinery	10% per annum
Fixtures, fittings & equipment	10% per annum
Computer equipment	25% per annum
Motor vehicles	25% per annum

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is recognised in the profit and loss account.

1.6 Investment properties

Investment property, which is property held to earn rentals and/or for capital appreciation, is initially recognised at cost, which includes the purchase cost and any directly attributable expenditure. Subsequently it is measured at fair value at the reporting end date. Changes in fair value are recognised in profit or loss.

Property rented to a group entity is accounted for as tangible fixed assets.

1.7 Fixed asset investments

Equity investments are measured at fair value through profit or loss, except for those equity investments that are not publicly traded and whose fair value cannot otherwise be measured reliably, which are recognised at cost less impairment until a reliable measure of fair value becomes available.

In the parent company financial statements, investments in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses.

A subsidiary is an entity controlled by the group. Control is the power to govern the financial and operating policies of the entity so as to obtain benefits from its activities.

1 Accounting policies **(Continued)**

1.8 Impairment of fixed assets

At each reporting period end date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

The carrying amount of the investments accounted for using the equity method is tested for impairment as a single asset. Any goodwill included in the carrying amount of the investment is not tested separately for impairment.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.9 Stocks

Stocks are stated at the lower of cost and estimated selling price less costs to complete and sell. Cost comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the stocks to their present location and condition.

Stocks held for distribution at no or nominal consideration are measured at the lower of cost and replacement cost, adjusted where applicable for any loss of service potential.

At each reporting date, an assessment is made for impairment. Any excess of the carrying amount of stocks over its estimated selling price less costs to complete and sell is recognised as an impairment loss in profit or loss.

1.10 Cash at bank and in hand

Cash at bank and in hand are basic financial assets and include cash in hand, deposits held at call with banks, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1.11 Financial instruments

The group has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the group's balance sheet when the group becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset and the net amounts presented in the financial statements when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

1 Accounting policies **(Continued)**

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Other financial assets

Other financial assets, including investments in equity instruments which are not subsidiaries, associates or joint ventures, are initially measured at fair value, which is normally the transaction price. Such assets are subsequently carried at fair value and the changes in fair value are recognised in profit or loss, except that investments in equity instruments that are not publicly traded and whose fair values cannot be measured reliably are measured at cost less impairment.

Impairment of financial assets

Financial assets, other than those held at fair value through profit and loss, are assessed for indicators of impairment at each reporting end date.

Financial assets are impaired where there is objective evidence that, as a result of one or more events that occurred after the initial recognition of the financial asset, the estimated future cash flows have been affected. If an asset is impaired, the impairment loss is the difference between the carrying amount and the present value of the estimated cash flows discounted at the asset's original effective interest rate. The impairment loss is recognised in profit or loss.

If there is a decrease in the impairment loss arising from an event occurring after the impairment was recognised, the impairment is reversed. The reversal is such that the current carrying amount does not exceed what the carrying amount would have been, had the impairment not previously been recognised. The impairment reversal is recognised in profit or loss.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire or are settled, or when the group transfers the financial asset and substantially all the risks and rewards of ownership to another entity, or if some significant risks and rewards of ownership are retained but control of the asset has transferred to another party that is able to sell the asset in its entirety to an unrelated third party.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the group after deducting all of its liabilities.

Basic financial liabilities, including creditors, bank loans and loans from fellow group companies, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

1 Accounting policies **(Continued)**

Derecognition of financial liabilities

Financial liabilities are derecognised when the group's contractual obligations expire or are discharged or cancelled.

1.12 Equity instruments

Equity instruments issued by the group are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the group.

1.13 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Such assets and liabilities are not recognised if the timing difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the profit and loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset if, and only if, there is a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.14 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1 Accounting policies **(Continued)**

1.15 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

The company sponsors a Self Invested Personal Pension scheme operated for the benefit of its employees. All eligible staff are invited to join the scheme, with the company matching employee contributions up to an agreed limit. Contributions payable are charged to the profit and loss account in the year they are payable. There were no contributions outstanding at the date of these accounts.

The company has a defined benefit scheme which is closed to new members. Based on the last actuarial triennial valuation, the company has agreed a schedule of contributions with the Scheme Trustees and the Scheme Actuary which has been accepted by the Pensions Regulator. The contributions to the scheme are charged to the profit and loss account in respect to the accounting year in which they are payable. There were no contributions outstanding at the date of these accounts.

1.16 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the balance sheet as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

Rental income from operating leases is recognised on a straight line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight line basis over the lease term.

1.17 Foreign exchange

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are recorded at the rate ruling at the date of the transaction. All differences are taken to profit and loss account.

Results of overseas subsidiaries are translated at the average rate for the year. Assets and liabilities of overseas subsidiaries are translated at the rate ruling at the balance sheet date.

1.18 Rental income

Rental income is credited to the profit and loss account on a straight line basis.

2 Judgements and key sources of estimation uncertainty

In the application of the group's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

3 Turnover and other revenue

An analysis of the group's turnover is as follows:

	2024 £	2023 £
Turnover analysed by class of business		
Trading and processing of natural gums and products	20,436,550	21,137,612

	2024 £	2023 £
Other revenue		
Interest income	640	796

4 Operating profit

	2024 £	2023 £
Operating profit for the year is stated after charging/(crediting):		
Exchange (gains)/losses	(39,693)	15,480
Depreciation of owned tangible fixed assets	193,280	179,610
Profit on disposal of tangible fixed assets	(10,830)	-
Cost of stocks recognised as an expense	11,890,116	13,477,487
Operating lease charges	416,683	398,120

5 Auditor's remuneration

Fees payable to the company's auditor and associates:	2024 £	2023 £
For audit services		
Audit of the financial statements of the group and company	25,450	24,600
Audit of the financial statements of the company's subsidiaries	4,650	4,500
	30,100	29,100

6 Employees

The average monthly number of persons (including directors) employed by the group and company during the year was:

	Group 2024 Number	Group 2023 Number	Company 2024 Number	Company 2023 Number
Administration and management	26	24	21	19
Factory and laboratory staff	28	29	28	29
Total	54	53	49	48

6 Employees (Continued)

Their aggregate remuneration comprised:

	Group		Company	
	2024	2023	2024	2023
	£	£	£	£
Wages and salaries	3,964,423	3,352,135	3,722,398	3,109,576
Social security costs	495,424	410,709	456,683	372,406
Pension costs	266,916	253,038	266,916	253,038
	4,726,763	4,015,882	4,445,997	3,735,020

7 Directors' remuneration

	2024	2023
	£	£
Remuneration for qualifying services	1,633,719	1,237,203

Remuneration disclosed above includes the following amounts paid to the highest paid director:

	2024	2023
	£	£
Remuneration for qualifying services	1,628,030	1,237,203

8 Interest receivable and similar income

	2024	2023
	£	£
Interest income		
Interest on bank deposits	640	796

Investment income includes the following:	2024 £	2023 £
Interest on financial assets not measured at fair value through profit or loss	640	796

9 Interest payable and similar expenses

	2024	2023
	£	£
Interest on financial liabilities measured at amortised cost:		
Interest on bank overdrafts and loans	39,510	110,375
Other finance costs:		
Interest on finance leases and hire purchase contracts	444	739
Other interest	(208)	-
Total finance costs	39,746	111,114

10 Taxation

	2024	2023
	£	£
Current tax		
UK corporation tax on profits for the current period	227,164	158,000
Adjustments in respect of prior periods	(8,834)	-
Total UK current tax	218,330	158,000
Foreign current tax on profits for the current period	22,431	15,628
Total current tax	240,761	173,628
Deferred tax		
Origination and reversal of timing differences	-	12,010
Total tax charge	240,761	185,638

10 Taxation (Continued)

The actual charge for the year can be reconciled to the expected charge for the year based on the profit or loss and the standard rate of tax as follows:

	2024	2023
	£	£
Profit before taxation	1,234,468	942,337
Expected tax charge based on the standard rate of corporation tax in the UK of 25.00% (2023: 22.00%)	308,617	207,314
Tax effect of expenses that are not deductible in determining taxable profit	6,269	13,800
Tax effect of income not taxable in determining taxable profit	(1,572)	-
Adjustments in respect of prior years	(8,834)	158
Permanent capital allowances in excess of depreciation	(36,090)	(19,454)
Research and development tax credit	(20,542)	(26,582)
Effect of overseas tax rates	(7,087)	(1,608)
Deferred tax adjustments in respect of prior years	-	12,010
Taxation charge	240,761	185,638

In addition to the amount charged to the profit and loss account, the following amounts relating to tax have been recognised directly in other comprehensive income:

	2024	2023
	£	£
Deferred tax arising on:		
Accelerated Capital Allowances	-	12,010
Revaluation	128,313	-

11 Dividends

Recognised as distributions to equity holders:	2024 £	2023 £
Final paid	360,000	350,000

12 Intangible fixed assets

Group	Goodwill £
Cost	
At 1 October 2023 and 30 September 2024	34,246
Amortisation and impairment	
At 1 October 2023 and 30 September 2024	34,246

12 Intangible fixed assets (Continued)

Carrying amount	
At 30 September 2024	-
At 30 September 2023	-

The company had no intangible fixed assets at 30 September 2024 or 30 September 2023.

13 Tangible fixed assets

Group	Freehold land and buildings	Structures and buildings	Plant and machinery	Fixtures, fittings & equipment	Motor vehicles	Total
	£	£	£	£	£	£
Cost or valuation						
At 1 October 2023	3,263,953	372,814	2,239,382	1,569,664	97,869	7,543,682
Additions	152,276	-	244,871	69,227	-	466,374
Disposals	-	-	-	(383,444)	(39,950)	(423,394)
Exchange adjustments	-	-	-	(6,282)	-	(6,282)
At 30 September 2024	3,416,229	372,814	2,484,253	1,249,165	57,919	7,580,380
Depreciation and impairment						
At 1 October 2023	17,588	362,598	1,768,013	1,229,997	64,913	3,443,109
Depreciation charged in the year	14,764	3,821	108,506	51,543	14,646	193,280
Eliminated in respect of disposals	-	-	-	(375,639)	(21,640)	(397,279)
Exchange adjustments	-	-	-	(5,390)	-	(5,390)
At 30 September 2024	32,352	366,419	1,876,519	900,511	57,919	3,233,720
Carrying amount						
At 30 September 2024	3,383,877	6,395	607,734	348,654	-	4,346,660
At 30 September 2023	3,246,365	10,216	471,369	339,667	32,956	4,100,573

13 Tangible fixed assets (Continued)

Company	Freehold land and buildings	Structures and buildings	Plant and machinery	Fixtures, fittings & equipment	Motor vehicles	Total
	£	£	£	£	£	£
Cost or valuation						
At 1 October 2023	3,263,953	372,814	2,239,382	1,481,095	97,869	7,455,113
Additions	152,276	-	244,871	69,227	-	466,374
Disposals	-	-	-	(356,695)	(39,950)	(396,645)
At 30 September 2024	3,416,229	372,814	2,484,253	1,193,627	57,919	7,524,842
Depreciation and impairment						
At 1 October 2023	17,588	362,598	1,768,013	1,159,909	64,913	3,373,021
Depreciation charged in the year	14,764	3,821	108,506	41,830	14,646	183,567
Eliminated in respect of disposals	-	-	-	(356,695)	(21,640)	(378,335)
At 30 September 2024	32,352	366,419	1,876,519	845,044	57,919	3,178,253
Carrying amount						
At 30 September 2024	3,383,877	6,395	607,734	348,583	-	4,346,589
At 30 September 2023	3,246,365	10,216	471,369	321,186	32,956	4,082,092

The net carrying value of tangible fixed assets includes the following in respect of assets held under finance leases or hire purchase contracts.

	Group		Company	
	2024	2023	2024	2023
	£	£	£	£
Motor vehicles	-	10,031	-	-

A valuation of the freehold land and buildings was made by Clarke Hillyer Limited Chartered Surveyors and Commercial Property Consultants as at 30 September 2021 on the basis of 'open market value' which has been reflected in the accounts.

14 Investment property

	Group	Company
	2024	2024
	£	£
Fair value		
At 1 October 2023 and 30 September 2024	1,905,000	1,905,000

14 Investment property **(Continued)**

Investment property comprises commercial properties let out. The fair value of the investment property has been arrived at on the basis of valuations carried out by Clarke Hillyer Limited Chartered Surveyors and Commercial Property Consultants and Lamb & Swift Commercial, who are not connected with the company. The valuation was made on an open market value basis by reference to market evidence of transaction prices for similar properties as at 30 September 2021. The directors believe this fair value still applies at the current year end.

15 Fixed asset investments

		Group		Company	
		2024	2023	2024	2023
	Notes	£	£	£	£
Investments in subsidiaries	16	-	-	39,199	38,664

Movements in fixed asset investments

Company	Shares in subsidiaries £
Cost or valuation	
At 1 October 2023	38,664
Valuation changes	535
At 30 September 2024	39,199
Carrying amount	
At 30 September 2024	39,199
At 30 September 2023	38,664

16 Subsidiaries

Details of the company's subsidiaries at 30 September 2024 are as follows:

Name of undertaking	Registered office	Class of shares held	% Held Direct	% Held Indirect
Arthur Branwell & Co (Central & Eastern Europe) SRO	Czech Republic	Ordinary	100.00	0
King Charles Foods Limited	United Kingdom	Ordinary	100.00	0

17 Stocks

	Group 2024 £	Group 2023 £	Company 2024 £	Company 2023 £
Raw materials and consumables	45,254	62,579	45,254	62,579
Finished goods and goods for resale	4,954,980	6,182,938	4,821,351	5,994,660
	5,000,234	6,245,517	4,866,605	6,057,239

18 Debtors

Amounts falling due within one year:	Group 2024 £	Group 2023 £	Company 2024 £	Company 2023 £
Trade debtors	3,732,557	2,851,635	3,591,694	2,483,681
Amounts owed by group undertakings	-	-	-	11,896
Other debtors	24,101	99,124	25,346	76,864
Prepayments and accrued income	228,581	173,195	208,773	152,085
	3,985,239	3,123,954	3,825,813	2,724,526

19 Creditors: amounts falling due within one year

	Notes	Group 2024 £	Group 2023 £	Company 2024 £	Company 2023 £
Bank loans and overdrafts	21	643,137	551,104	643,137	551,104
Obligations under finance leases	22	-	7,877	-	-
Trade creditors		2,813,034	3,646,172	2,782,676	3,538,192
Amounts owed to group undertakings		-	-	535	-
Corporation tax payable		227,916	161,933	227,916	161,933
Other taxation and social security		148,591	64,485	137,949	49,547
Other creditors		35,855	468,668	25,830	447,229
Accruals and deferred income		2,385,409	1,972,893	2,382,652	1,933,860
		6,253,942	6,873,132	6,200,695	6,681,865

20 Creditors: amounts falling due after more than one year

	Notes	Group 2024 £	Group 2023 £	Company 2024 £	Company 2023 £
Obligations under finance leases	22	-	7,483	-	-

21 Loans and overdrafts

	Group 2024 £	2023 £	Company 2024 £	2023 £
Bank overdrafts	643,137	551,104	643,137	551,104
Payable within one year	643,137	551,104	643,137	551,104

The long-term loans are secured by fixed charges over properties owned by the group.

The bank overdraft is repayable on demand and interest is payable at 1.9% above base rate per annum on the daily overdrawn balance.

22 Finance lease obligations

Finance lease payments represent rentals payable by the company or group for certain items of plant and machinery. Leases include purchase options at the end of the lease period, and no restrictions are placed on the use of the assets. The average lease term is 3 years. All leases are on a fixed repayment basis and no arrangements have been entered into for contingent rental payments.

23 Deferred taxation

The following are the major deferred tax liabilities and assets recognised by the group and company, and movements thereon:

Group and Company	Liabilities 2024 £	Liabilities 2023 £
Accelerated capital allowances	185,309	185,309
Revaluations	696,282	567,969
	881,591	753,278

Movements in the year:	Group 2024 £	Company 2024 £
Liability at 1 October 2023	753,278	753,278
Effect of change in tax rate - equity	128,313	128,313
Liability at 30 September 2024	881,591	881,591

24 Retirement benefit schemes

Defined contribution schemes	2024 £	2023 £
Charge to profit or loss in respect of defined contribution schemes	69,822	65,792

A defined contribution pension scheme is operated for all qualifying employees. The assets of the scheme are held separately from those of the group in an independently administered fund.

25 Share capital

	Group and company	
	2024	2023
Ordinary share capital	£	£
Issued and fully paid		
25,000 'A' ordinary shares of £1 each	25,000	25,000
225,000 'B' ordinary shares of £1 each	225,000	225,000
	250,000	250,000

The 'B' ordinary shares have no voting rights at general meetings. In all other respects the shares rank pari passu with the 'A' ordinary shares.

26 Reserves

Other reserves
Other reserves is in respect of consolidated foreign exchange profits and losses on net investments retranslations.

27 Financial commitments, guarantees and contingent liabilities

The company has guaranteed indemnities given by its bankers in favour of HM Revenue & Customs for £12,000 (2023 - £12,000).

28 Operating lease commitments

Lessee
At the reporting end date the group had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	Group		Company	
	2024	2023	2024	2023
	£	£	£	£
Within one year	218,813	200,000	218,813	200,000
Between two and five years	330,243	500,000	330,243	500,000
	549,056	700,000	549,056	700,000

29 Capital commitments

Amounts contracted for but not provided in the financial statements:

	Group		Company	
	2024	2023	2024	2023
	£	£	£	£
Acquisition of tangible fixed assets	132,079	-	132,079	-

30 Related party transactions

The company has taken advantage of the exemption from the requirement to disclose transactions with group companies.

During the year the group entered into the following transactions with a company with a common director and shareholder.

	2024	2023
	£	£
Factory rent received	59,535	59,535
Rent and service charge	52,383	51,105
Recharge of expenses	7,389	6,365
	119,307	117,005

At the year end, the company owed Arthur Branwell & Co Ltd £37,443 (2023 - £11,838).

31 Cash generated from group operations

	2024	2023
	£	£
Profit for the year after tax	993,707	756,699
Adjustments for:		
Taxation charged	240,761	185,638
Finance costs	39,746	111,114
Investment income	(640)	(796)
Gain on disposal of tangible fixed assets	(10,830)	-
Depreciation and impairment of tangible fixed assets	193,280	179,610
Movements in working capital:		
Decrease in stocks	1,245,283	262,735
(Increase) in debtors	(952,431)	(13,648)
(Decrease)/increase in creditors	(719,204)	1,425,942
Other reserve movement	43,815	(5,233)
Cash generated from operations	1,073,487	2,902,061

32 Cash generated from operations - company

	2024	2023
	£	£
Profit for the year after tax	988,014	704,693
Adjustments for:		
Taxation charged	218,330	170,010
Finance costs	39,302	110,375
Investment income	(88,379)	(11,510)
Gain on disposal of tangible fixed assets	(6,290)	-
Depreciation and impairment of tangible fixed assets	183,567	162,535
Movements in working capital:		
Decrease in stocks	1,190,634	306,253
(Increase)/decrease in debtors	(1,101,287)	92,703
(Decrease)/increase in creditors	(639,186)	1,235,070
Cash generated from operations	784,705	2,770,129

33 Analysis of changes in net debt - group

	1 October 2023	Cash flows	30 September 2024
	£	£	£
Cash at bank and in hand	306,335	146,847	453,182
Bank overdrafts	(551,104)	(92,033)	(643,137)
	(244,769)	54,814	(189,955)
Obligations under finance leases	(15,360)	15,360	-
	(260,129)	70,174	(189,955)

34 Analysis of changes in net debt - company

	1 October 2023	Cash flows	30 September 2024
	£	£	£
Cash at bank and in hand	31,718	(28,841)	2,877
Bank overdrafts	(551,104)	(92,033)	(643,137)
	(519,386)	(120,874)	(640,260)

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